

MEMORANDUM

Sterling, Marsh & Associates LLP

TO: Lauren Sterling, Managing Partner

FROM: Marsha Drennan, Controller

DATE: December 31, 2024

RE: Year-End Unbilled WIP Adjustment Methodology

This memo documents the year-end matter-level adjustments to the pre-adjustment closing unbilled work-in-process balance. The pre-adjustment closing balance is the matter-level closing balance presented in the attached unbilled work-in-process schedule.

Matter-Level Realization

Realization at the matter level is documented in the firm's 2024 realization rate analysis workpaper. The workpaper definition of realization is the ratio of net realized fee revenue (invoiced gross fees less invoice-time write-downs and write-offs) to gross fees billed at standard rates over the analysis period. Each hourly matter carries an individual realization rate derived from its own invoicing activity for the year. The matter's realization rate is applied to the matter's pre-adjustment closing WIP balance to determine the post-realization carrying value. Flat-fee matters and contingency matters are recognized under their own engagement terms (milestone-based and event-based respectively) and are not within the scope of this adjustment.

Engagement Letter Modifications

Where a matter's engagement letter has been amended during the year to install a cumulative fee cap or other reduction to the firm's expected fee exposure, the cap-binding residual exposure under the modified terms is treated as the matter's pre-realization WIP basis for purposes of the year-end adjustment. Cumulative fees billed for cap-residual computation are measured against the cumulative gross fees billed for the matter, consistent with the engagement letter convention.

Approved Year-End Write-Downs

Approved year-end write-downs identified through the matter management review (including collectibility events, partial settlements, and similar matter-level adjustments) are reflected after matter realization on the post-realization carrying value of the affected matter. Where the firm's review concludes that the unbilled work-in-process on a matter is no longer collectible, the closing carrying value for that matter is zero.

Adjustment Journal Entry

The net year-end adjustment is recorded as a debit to GL account 4900 (Fee Discounts and Write-Downs) and a credit to GL account 1200 (Unbilled WIP) for the total decrease in the carrying value of unbilled work-in-process from the pre-adjustment closing balance to the post-adjustment closing balance.

M.D.

Marsha Drennan, Controller